

Where does the infill housing go?

Addition versus division

Thomas Davidoff, Robert Helsley, and Tsur Somerville
Sauder, UBC

June 2, 2026

Puzzle introduced and resolved

Puzzle

- Density limits have greatest deadweight loss in high-priced areas
 - Across metros Hsieh and Moretti (2019)
 - Within metros Brueckner and Singh (2020)
- But recent “missing middle” upzoning uptake - sorted within metros

Resolution

- Addition of space, sure
- But a lot of infill upzoning is “division”
 - Same space, more units
 - More valuable where poorer people live by concavity
 - With mandated home sizes, rich get better locations

Some examples from Vancouver: Dunbar vs less rich Hastings-Sunrise



\$4,680,000

3349 W 19th Avenue
Dunbar • Vancouver
5 bd • 5 ba • 2885 sf • 33 × 121 ft
House

Luxmore Realty



\$2,388,000

3634 W 29th Avenue
Dunbar • Vancouver
3 bd • 4 ba • 1633 sf • 33 × 130 ft
Duplex



Julien Delbasse-Lefon PREC*
RE/MAX City Realty



\$2,658,000

3123 E 7th Avenue
Renfrew • Vancouver
8 bd • 8 ba • 3557 sf • 33 × 122 ft
House



Tracy Niu PREC*
Nu Stream Realty Inc.



\$1,599,800

2558 William Street
Renfrew • Vancouver
3 bd • 3 ba • 1545 sf
Duplex

Sutton Centre Realty

- Ma: high-income households less harmed by large home mandates
- Studies showing negative sorting of infill takeup:
 - Vancouver laneway (Davidoff, Pavlov, Somerville, 2022)
 - ADUs in California (Marantz-Elmendorf and Kim, 2023; Brueckner and Thomaz, 2024)
 - Duplexes and triplexes in Seattle (Huang et al, 2023)
 - Portland's Residential Infill Project (RIP) (Dong and Hansz, 2019)

Spatially smoothed price per square foot Vancouver

Price per square foot of single family homes in 2018, just before the reform, across locations in Vancouver. Top panel, spatially weighted transaction residuals 2014-2018, bottom panel lot-level BC Assessment estimates of land value per lot square foot



